

House File 986

H-1234

1 Amend House File 986 as follows:

2 1. Page 34, after line 2 by inserting:

3 <DIVISION ____

4 MOTOR VEHICLE FINANCIAL LIABILITY COVERAGE

5 Sec. _____. Section 321.20, subsection 1, Code 2025, is
6 amended by adding the following new paragraph:

7 NEW PARAGRAPH. *g.* If the vehicle is a motor vehicle, the
8 owner shall certify on the application that financial liability
9 coverage is in effect for the motor vehicle pursuant to section
10 321.20B and provide a copy of the proof of financial liability
11 coverage card issued for the motor vehicle, a description of
12 the financial liability coverage as noted on the proof of
13 financial liability coverage card, or other documentation
14 acceptable to the department. This paragraph does not apply
15 to a motor vehicle excluded from the requirements of section
16 321.20B.

17 Sec. _____. Section 321.20B, subsection 4, paragraph c, Code
18 2025, is amended by striking the paragraph.

19 Sec. _____. Section 321.20B, subsection 5, paragraph b, Code
20 2025, is amended by striking the paragraph and inserting in
21 lieu thereof the following:

22 *b.* Issue a citation to the driver.

23 Sec. _____. Section 321.20B, Code 2025, is amended by adding
24 the following new subsections:

25 NEW SUBSECTION. 5A. An owner or driver cited for or charged
26 with a violation of subsection 1 who produces to the clerk of
27 court prior to the date of the person's court appearance proof
28 that financial liability coverage was in effect for the motor
29 vehicle at the time the person was stopped, or if the driver
30 is not the owner of the motor vehicle, proof that financial
31 liability coverage was in effect for the driver with respect
32 to the motor vehicle being driven at the time the driver was
33 stopped in the same manner as if the motor vehicle were owned
34 by the driver, shall be given a receipt indicating that proof
35 was provided, and the citation or charge shall be dismissed by

1 the court. Upon dismissal, the court or clerk of court shall
2 assess the costs of the action against the defendant.

3 NEW SUBSECTION. 5B. A person convicted of a violation of
4 subsection 1 is guilty of a simple misdemeanor punishable as
5 a scheduled violation under section 805.8A, subsection 14,
6 paragraph "f".

7 Sec. _____. Section 321.30, Code 2025, is amended by adding
8 the following new subsection:

9 NEW SUBSECTION. 4. The department or the county treasurer
10 shall refuse registration of a motor vehicle if the owner
11 does not provide satisfactory proof that financial liability
12 coverage is in effect for the motor vehicle pursuant to section
13 321.20B. This subsection does not apply to a motor vehicle
14 excluded from the requirements of section 321.20B.

15 Sec. _____. Section 321.40, Code 2025, is amended by adding
16 the following new subsection:

17 NEW SUBSECTION. 11. A form for certification of financial
18 liability coverage pursuant to section 321.20B shall accompany
19 each renewal statement sent to the owner of a motor vehicle
20 under this section. The county treasurer shall refuse to renew
21 the registration of a motor vehicle if the applicant does not
22 submit satisfactory proof of financial liability coverage in
23 effect for the motor vehicle pursuant to section 321.20B. This
24 subsection does not apply to a motor vehicle excluded from the
25 requirements of section 321.20B.

26 Sec. _____. Section 805.8A, subsection 14, paragraph f, Code
27 2025, is amended to read as follows:

28 *f. Proof of financial responsibility. If, in connection with*
29 ~~a motor vehicle accident, a person is charged and found guilty~~
30 ~~of a violation of section 321.20B, subsection 1, the scheduled~~
31 ~~fine is six hundred forty-five dollars; otherwise, the~~
32 ~~scheduled fine for a violation of section 321.20B, subsection~~
33 ~~1, is three hundred twenty-five dollars.~~

34 (1) The scheduled fine for a violation of section 321.20B,
35 subsection 1, is as follows:

1 (a) If the violation occurred in connection
2 with a motor vehicle accident\$645.
3 (b) If the violation did not occur in connection
4 with a motor vehicle accident\$325.
5 (c) For a second violation within five years, the scheduled
6 fine under subparagraph division (a) or (b), as applicable,
7 shall be doubled.
8 (d) For a third or subsequent violation within five years,
9 the scheduled fine under subparagraph division (a) or (b), as
10 applicable, shall be tripled.
11 (2) Notwithstanding section 805.12, fines collected
12 pursuant to this paragraph shall be submitted to the state
13 court administrator and distributed fifty percent to the victim
14 compensation fund established in section 915.94, twenty-five
15 percent to the county in which such fine is imposed, and
16 twenty-five percent to the general fund of the state.
17 Sec. _____. EFFECTIVE DATE. The following take effect
18 December 1, 2028:
19 1. The section of this division of this Act enacting section
20 321.20, subsection 1, paragraph "g".
21 2. The section of this division of this Act enacting section
22 321.30, subsection 4.
23 3. The section of this division of this Act enacting section
24 321.40, subsection 11.>
25 2. Title page, by striking lines 2 and 3 and inserting <of
26 insurance and financial services, the utilities commission, and
27 the department of transportation, including financial literacy
28 and exploitation,>
29 3. Title page, by striking lines 6 and 7 and inserting
30 <contracts, cross-subsidization of public utilities, motor
31 vehicle financial liability coverage, and including penalties
32 and effective date provisions.>

WENGRYN of Decatur